

CONFIDENTIAL · M&A BUY-SIDE PITCH BOOK

Project Nordlys

Klarna Group plc (NYSE: KLAR) — Proposed Acquisition of Signicat AS

Nordic payments infrastructure meets embedded identity & KYC

July 2026 | Prepared by Paolo | For discussion purposes only

Hypothetical transaction constructed from public company data — not an actual proposed deal

Klarna should acquire Signicat for \$1.03–1.08bn to build a Nordic-leading compliance layer

1 Transaction Overview

Klarna acquires Signicat AS (Nordic Capital-owned) for an estimated \$1,026M–\$1,083M EV (recommended: ~\$1,055M). Funded 70–75% cash from IPO proceeds, 25–30% earn-out on enterprise retention KPIs over 2–3 years.

2 Strategic Rationale

Extends payments infrastructure into compliance-grade identity verification. Cross-sell channel into Klarna's 966,000-merchant base. Tightening Nordic/EU AML-KYC regulation raises the value of embedded compliance.

3 Financial Impact

Modestly dilutive on Adj. Operating Profit in Year 1 (~-3%), before synergies — driven by forgone interest income and PPA amortization. Accretive by Year 2 (+2–3%) and Year 3 (+8–10%) as cross-sell ramps.

4 Key Risks

Regulatory approval tied to eIDAS QTSP change-of-control notification, not antitrust (deal sits below EUMR thresholds). Talent retention and unproven cross-sell execution are the two risks that matter most.

Three reasons this deal creates value beyond today's earnings

01

Regulatory tailwind raises the value of embedded compliance

Tightening AML/KYC regulation across the Nordics and EU (AMLR, AI Act provisions phasing in through 2027) makes identity verification a growing cost of doing business for every BNPL and payments player — Signicat sells the infrastructure that compliance requires.

02

Klarna's merchant base is a distribution asset Signicat cannot access alone

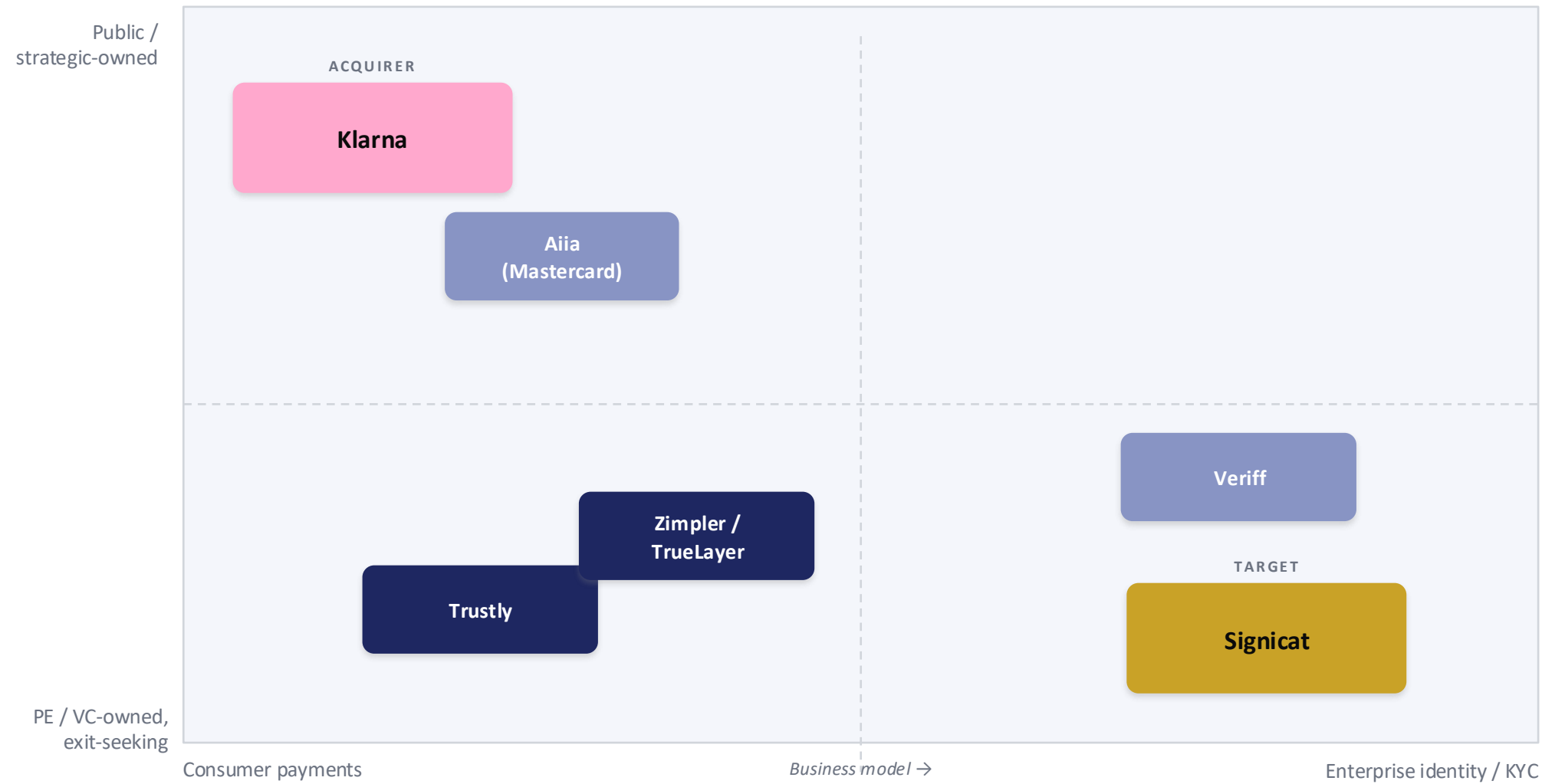
966,000 merchants and 118M active consumers give Klarna a cross-sell channel Signicat's enterprise-only sales motion has never had. This is the primary source of value creation in this deal, not cost synergy.

03

A motivated seller creates room for valuation discipline

Nordic Capital's 2022 exit attempt failed. A PE owner six years into a fund life with a failed prior process is a seller under time pressure — that dynamic supports paying near the low-to-mid end of the range, not the top.

Signicat sits at the intersection of enterprise identity and PE ownership overhang



Note: axis positions are illustrative, based on public disclosures of business model and ownership status as of mid-2026.

Klarna: profitable-scale payments platform seeking new distribution economics

\$3.51bn

FY25 Total Revenue (+25% YoY)

\$127.9bn

FY25 GMV (+22% YoY)

Business

Global digital bank and flexible payments provider (buy-now-pay-later, direct payments, banking). Listed on NYSE since 2025.

Q1'26 momentum

Revenue \$1.01bn (+44% YoY); adjusted operating profit \$68M vs \$3M a year ago; net income turned roughly breakeven (EPS -\$0.01 vs -\$0.26).

Why it matters for this deal

Near-breakeven net income means classic EPS accretion/dilution is not a meaningful primary metric — see Section on Financial Impact.

~\$7.0–7.4bn

Market capitalization (NYSE: KLAR)

118M

FY25 active consumers (+28% YoY)

966,000

Merchants (+42% YoY)

>\$299M

FY26 Adj. Operating Profit guidance

Source: Klarna Group plc FY25 and Q1'26 earnings releases, Klarna Investor Relations.

Signicat: category-leading Nordic KYC platform, PE-owned since 2019

€140M / \$160M

2025 revenue (Nordic Capital disclosure)

23.7–24.1%

Estimated EBITDA margin (peer-implied)

Business

Identity verification and KYC/AML compliance platform serving enterprise clients (banks, fintechs, public sector) across the Nordics and wider EU.

€33.2–33.8M

Estimated 2025 EBITDA (~\$38M)

1,300+

Enterprise clients across the Nordics/EU

Ownership dynamics

Six years into Nordic Capital's hold period with one failed exit attempt behind it — typical profile of a motivated seller, supporting price discipline on Klarna's side.

2019

Acquired by Nordic Capital

2022

Prior exit process attempted — did not complete

Why it matters for this deal

The core asset is human capital and client relationships, not hardware — talent retention is the top integration risk.

Source: Nordic Capital company disclosures; EBITDA margin estimated from GBG and OneSpan peer averages. EUR/USD = 1.14 (spot, July 2026).

Synergy case rests on distribution, not cost-cutting

Revenue synergy build (illustrative)

	Year 2	Year 3
Merchant penetration rate	0.2%	0.4%
Merchants served	~1,930	~3,860
Avg. contract value (light tier)	\$8,000	\$9,000
Revenue synergy	~\$15.4M	~\$34.7M

Penetration assumptions are illustrative, based on comparable B2B2C attach-rate patterns in adjacent fintech cross-sell (e.g. payments-to-lending) — not a disclosed precedent.

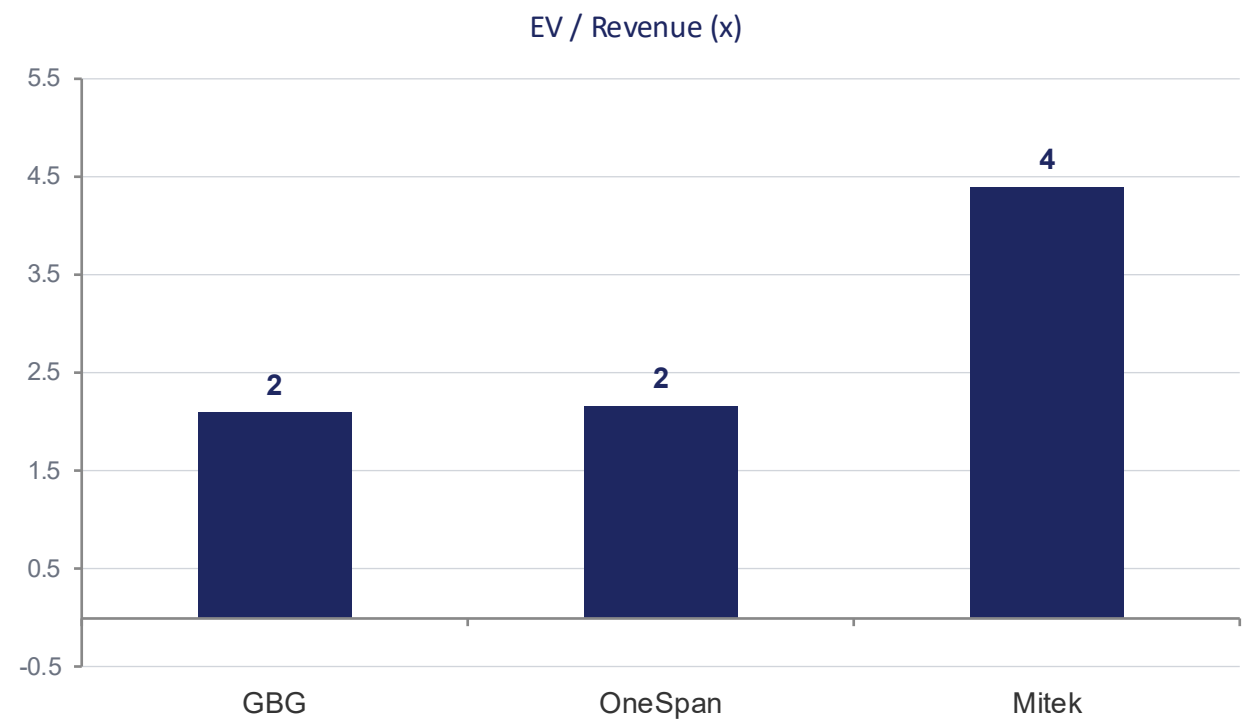
Cost synergies: modest

Limited overlap in headcount or infrastructure. Some consolidation potential in cloud hosting and shared compliance/legal functions, not modeled as a primary value driver.

Regulatory driver

EU AMLR and phased AI Act compliance obligations (through 2027) raise the baseline cost of KYC for every BNPL and payments provider — a structural tailwind for Signicat's core business independent of this deal.

Trading comps support a premium to GBG given Signicat's higher-margin profile



Company	EV/Rev	Rationale
GBG	2.09x	Closest pure-play comp; UK-listed identity verification
OneSpan	2.16x	Broader auth/security mix, lower margin than Signicat
Mitek	4.39x	Higher-growth mobile capture; upper bound of range
Okta	excluded	Enterprise IAM, not consumer KYC — outlier category

Source: company filings, market data as of July 2026. Multiples are EV/Revenue and currency-neutral by construction.

Entrust/Onfido is the only clean comparable — and it points to a wide range

Transaction	EV/Revenue	Status
Entrust / Onfido	3.67x – 5.96x	Included — closest precedent, identity verification
Thoma Bravo / Ping Identity	excluded	Enterprise IAM, not consumer/KYC-focused — same exclusion logic as Okta

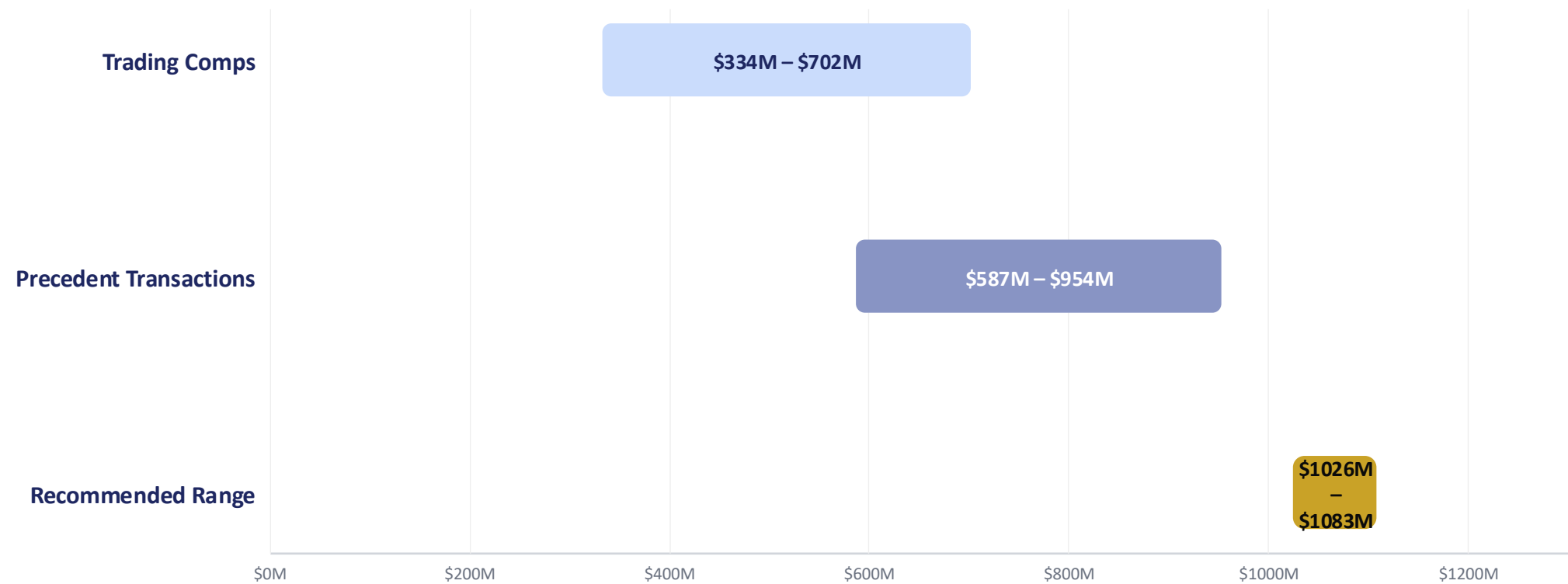
Why only one precedent — and why that's a limitation, not a gap in the work

Nordic/European identity-verification M&A is a thin market. Entrust's acquisition of Onfido is the only transaction with a disclosed, comparable multiple in this specific category — most adjacent deals (Ping Identity, Okta-scale IAM consolidation) sit in enterprise access management, a different buyer set and margin profile.

One precedent means one data point, not a range. The 3.67x–5.96x spread reflects deal-specific terms (earn-outs, contingent consideration) disclosed for that single transaction — treat it as directional support for the trading comps range, not as an independent, statistically robust methodology.

Source: public deal announcements estimated from press reports (terms not officially disclosed)

Recommended range of \$1,026–\$1,083M sits above pure comps — on an explicit strategic premium



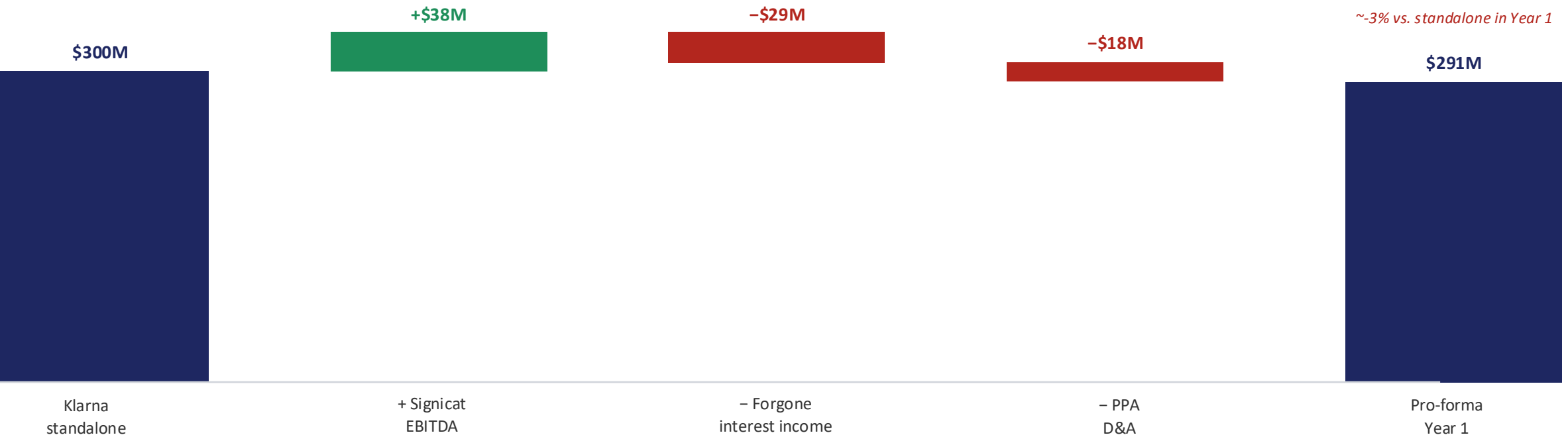
The recommended range sits above the precedent-transaction ceiling (\$954M). That gap is a deliberate strategic premium — reflecting Signicat's scarcity value as the only Nordic KYC platform of scale and Nordic Capital's exit motivation — not a mechanical comps output.

EUR/USD = 1.14 (spot, July 2026). Trading comps and precedent transactions applied to \$160M 2025E revenue (€140M).

Deal is modestly dilutive in Year 1, accretive by Year 2 on synergy ramp

Why Adj. Operating Profit, not EPS

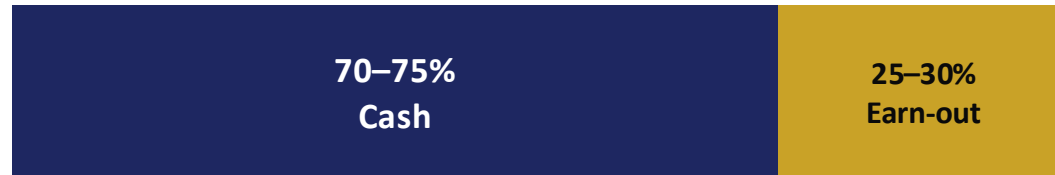
Klarna's FY25 net income was near breakeven (EPS -\$0.79 FY25, -\$0.01 Q1'26) — a base too close to zero for EPS accretion/dilution % to be meaningful. We use Adj. Operating Profit, Klarna's own primary reported metric.



	Year 1	Year 2	Year 3
Pro-forma Adj. Op. Profit	~\$291M	~\$305–310M	~\$325–330M
Δ vs. standalone	~-3%	+2–3%	+8–10%

Cash-funded structure avoids leverage risk given near-breakeven acquirer earnings

Consideration mix



Cash portion: funded from Klarna's IPO proceeds (~\$1.37bn available). No new debt issued.

Earn-out: 25–30% of consideration deferred over 2–3 years, tied to enterprise client retention KPIs — aligns Signicat management incentives through the integration period.

Why not debt-funded

Pro-forma interest coverage is negative to near-zero. Klarna's standalone Adj. Operating Profit (\$300M) is modest relative to the deal size, and Signicat's EBITDA contribution (\$38M) is not large enough to service meaningful new leverage without compressing coverage below acceptable levels.

Cash is cheap relative to the alternative. Klarna is sitting on \$1.37bn of IPO proceeds earning only risk-free returns (~3.8% T-bill yield) — the opportunity cost of using cash is lower than the interest cost of new acquisition debt at a near-breakeven credit profile.

Earn-out does the leverage job instead. Deferred consideration achieves risk-sharing with the seller without adding balance-sheet leverage or interest expense.

Path to close is regulatory-led, not antitrust-led — deal sits below EUMR thresholds

1

Due Diligence & Signing *Weeks 1–8*

Confirmatory financial, legal, tech/IP and GDPR DD. SPA negotiation, earn-out KPI definition (client retention, ARR).

So what: Tech DD on the KYC architecture determines whether the price paid holds up.

2

Regulatory & Approvals *Weeks 6–18*

eIDAS QTSP change-of-control notification (Norwegian supervisory authority). Possible FDI screening on identity infrastructure. Klarna Bank AB qualifying-holding check (Finansinspektionen).

So what: No EUMR filing required (combined turnover ~€3.3bn, below €5bn threshold) — the real gating item is sector regulation, not antitrust.

3

Financing & Closing *Weeks 16–22*

Draw-down of cash consideration from IPO proceeds. Escrow setup for earn-out. Closing conditional on Phase 2 regulatory sign-off.

So what: No new financing markets risk — cash is already on the balance sheet.

4

Integration (100-Day Plan → 18 Months) *Months 1–18*

100 days: key talent retention, API integration into Klarna checkout. Months 3–12: enterprise client migration, cross-sell launch. Months 12–18: platform consolidation.

So what: Retention of Signicat's technical talent in the first 100 days is the single highest-leverage action in this plan.

Four risks, four explicit mitigants — including a walk-away price

Regulatory approval timeline

Risk: eIDAS QTSP change-of-control review could extend past 12 months in a complex case.

Mitigant: Engage Norwegian supervisory authority pre-signing; 18–22 week closing estimate already reflects this, not an antitrust-style timeline.

Talent retention

Risk: Signicat's core asset is human capital — PE-backed firms often see attrition spike post-announcement.

Mitigant: 25–30% of consideration deferred as earn-out on retention KPIs directly aligns management incentives through Year 2–3.

Unproven cross-sell execution

Risk: No disclosed precedent for KYC attach-rate on a payments merchant base — synergy case rests on an assumption, not a track record.

Mitigant: Conservative phased penetration (0.2% → 0.4%); dedicated integration team named explicitly in the 100-day plan.

Competitive / walk-away discipline

Risk: Overpaying destroys the thesis — alternative targets exist if Signicat's price runs past fair value.

Mitigant: Hard walk-away ceiling at \$1,083M. Trustly (payments-infra overlap) and Veriff (identity, VC-backed) are fallback options if this process breaks down.

RECOMMENDATION

Proceed at \$1.03–\$1.08bn, cash-funded, with earn-out alignment

- Acquire Signicat AS for \$1,026M–\$1,083M EV (recommended: ~\$1,055M) — above the pure comps range on an explicit, defensible strategic premium.
- Fund 70–75% cash from existing IPO proceeds; 25–30% earn-out over 2–3 years tied to enterprise retention. No new debt.
- Accept modest Year 1 dilution (~-3% on Adj. Operating Profit) as the cost of entry; underwrite the deal on Year 2–3 accretion from cross-sell synergy, not near-term EPS.
- Sequence regulatory engagement (eIDAS QTSP notification) ahead of signing — it is the true gating item, not antitrust clearance.
- Hold the line at a \$1,083M walk-away price; Trustly and Veriff remain credible fallback targets.